

Wealth Plan 2025

Client: Sandra S. Elbaum

Date: November 2025

Location: Midlothian, Virginia

Executive Summary

Sandra, this wealth plan combines aggressive tax optimization with strategic Bitcoin accumulation and self-storage investment. With your income of \$200K-\$299K from both W-2 and 1099 sources, existing S-Corp structure, and active pursuit of self-storage opportunities, you're positioned to implement high-impact strategies immediately.

Your primary focus areas are retirement planning (currently no retirement accounts), tax minimization ahead of 2026 changes, and optimal deployment of your liquid capital plus the \$400K in cash flow banking. This plan prioritizes filling the retirement account gap while maximizing deductions through your business entity.

Year-One Value Projection

Scenario	Tax Strategies	Cash Flow	Real Estate	Total Value
Base (Pre-Real Estate)	\$31,260	\$6,500	—	\$37,760
Aggressive (Self-Storage Close)	\$39,580	\$6,500	\$89,250	\$135,330

Immediate Action Items (Week 1)

- Establish Solo 401(k) - Critical deadline for 2025 employee contributions (12/31/25)

- Adjust W-4 withholding to reclaim \$6,500 annual cash flow
- Set up Bitcoin DCA with River Financial
- Verify S-Corp payroll and reasonable compensation structure

Current Position Analysis

Income & Business Structure

Annual Income:	\$200K-\$299K (estimate \$250K for planning)
Structure:	Both W-2 and 1099 / S-Corp elected
Marginal Tax Rate:	24% federal + 5.75% Virginia = 29.75% combined
Monthly Fixed Expenses:	\$20,000 (\$240K annually)
Mortgage:	\$1,500/month (homeowner with \$100K equity)

Available Capital

Liquid Cash:	\$30K-\$60K
Cash Flow Banking:	\$400K (clarification needed on vehicle type)
Emergency Fund:	2-3 months (\$40K-\$60K comfort level)
Non-Mortgage Debt:	\$5K-\$20K
Credit Score:	720-759

Goals & Priorities

- **Primary:** Retirement planning and account establishment (critical gap)
- **Tax Optimization:** Minimize taxation including 2026 IRA/Roth considerations
- **Investment Strategy:** Optimal allocation across savings and investments
- **Real Estate:** Active pursuit of self-storage acquisition

- **Timeline:** 31-90 days for next major move

Time & Risk Profile

You can commit 3-5 hours weekly and have \$25K+ available for deployment. Your active pursuit of self-storage demonstrates moderate-to-aggressive risk tolerance and hands-on approach. The combination of W-2 income stability with 1099/business flexibility positions you well for both foundational and advanced strategies.

30-Day Launch Checklist

Week 1: Foundation & Cash Flow (Days 1-7)

Task	Action Required	Owner
W-4 Adjustment	Update withholding to reclaim \$6,500 annually; use IRS Tax Withholding Estimator	Sandra + Payroll/HR
S-Corp Verification	Confirm reasonable salary structure and payroll service active	Sandra + CPA
Solo 401(k) Research	Compare providers (Fidelity, Schwab, E*Trade); select based on fees and Bitcoin custody options	Sandra
Bitcoin Account Setup	Open River Financial account for DCA capabilities	Sandra

Week 2: Retirement & Business Deductions (Days 8-14)

Task	Action Required	Owner
Solo 401(k) Establishment	Complete application; obtain EIN if needed; set up account	Sandra + Provider
Employee Contribution	Initiate \$23,500 employee deferral (deadline 12/31/25)	Sandra
Home Office Setup	Measure dedicated space; photograph; calculate percentage; document exclusive use	Sandra
Accountable Plan Documentation	Create written policy; design expense report template; set up reimbursement tracking	Sandra + CPA
Mileage Tracking	Install MileIQ or similar; begin contemporaneous logging	Sandra

Week 3: Investment Allocation & Advanced Setup (Days 15-21)

Task	Action Required	Owner
Backdoor Roth IRA	Open Traditional IRA; contribute \$7,000 (non-deductible); immediately convert to Roth	Sandra (+ spouse if applicable)
Bitcoin DCA Activation	Set up \$1,000/month auto-buy; verify bank linkage	Sandra
STRC Research	Review Strategy income product details; determine allocation (\$15K-\$20K recommended)	Sandra
Self-Storage Due Diligence	Continue property analysis; engage cost segregation firm for quote	Sandra

Week 4: Advanced Strategies & Q4 Planning (Days 22-30)

Task	Action Required	Owner
Augusta Rule Documentation	Schedule 14 business meetings; document comparable rental rates; create formal rental agreements	Sandra + CPA
Section 179 Planning	Identify equipment needs; research heavy vehicles (>6,000 lbs GVWR) for maximum benefit	Sandra
Employer 401(k) Calculation	Calculate profit-sharing contribution (up to 25% compensation; total limit \$70,000)	Sandra + CPA
Professional Team Assembly	Identify CPA with S-Corp and real estate expertise; engage for year-end planning	Sandra

Tax Optimization Playbook

These eight strategies are prioritized by ROI at your 29.75% combined marginal rate. Each includes implementation steps, documentation requirements, and compliance considerations.

Strategy #1: Solo 401(k) Contribution Max - \$18,300-\$20,540 Annual Value

What It Is

The Solo 401(k) is the most powerful retirement vehicle for self-employed individuals and business owners. You can contribute both as employee (elective deferral) and employer (profit-sharing), reaching a total limit of \$70,000 for 2025. This is your highest-value strategy and fills the critical gap in your current position.

Why It Works For You

With no existing retirement accounts and business income, you can immediately establish tax-advantaged savings. At your 29.75% marginal rate, maximum contributions save \$18,300-\$20,540 annually while building retirement security. The deadline for employee contributions is December 31, 2025, making this time-sensitive.

Implementation Steps

1. **Week 2:** Open Solo 401(k) with provider (Fidelity, Schwab, E*Trade)
2. **Week 2:** Obtain EIN for the plan if required by provider
3. **By 12/31/25:** Make employee deferral up to \$23,500

4. **By tax filing + extensions:** Make employer profit-sharing contribution (up to 25% of compensation)
5. **Ongoing:** File Form 5500-EZ annually if plan assets exceed \$250,000

2025 Contribution Limits

Contribution Type	Limit	Deadline
Employee Deferral	\$23,500 (\$30,500 if age 50+)	December 31, 2025
Employer Profit-Sharing	Up to 25% of compensation	Tax filing deadline + extensions
Combined Total	\$70,000 (\$77,500 if age 50+)	Various

Estimated Annual Value

Conservative	\$18,300	\$61,500 contributions × 29.75% rate
Aggressive	\$20,540	\$69,000 contributions × 29.75% rate (near maximum)

Compliance Notes

Contributions must be from earned income only. Employee deferrals are limited to actual compensation received. If you have W-2 income with another employer offering 401(k), the \$23,500 limit applies across all plans combined. Employer profit-sharing contributions can bring you to the \$70,000 total limit. Maintain plan documents and file Form 5500-EZ when required.

Risk Level

Low risk. Highly established strategy with clear IRS guidelines. The primary risk is missing deadlines or over-contributing across multiple plans.

Strategy #2: Backdoor Roth IRA - \$14,000 (Long-Term Tax-Free Growth)

What It Is

The Backdoor Roth IRA allows high-income earners to contribute to a Roth IRA regardless of income limits. You make a non-deductible contribution to a Traditional IRA, then immediately convert it to a Roth IRA. This creates tax-free growth and withdrawals in retirement.

Why It Works For You

Your income likely exceeds the Roth IRA direct contribution limits (\$150,000-\$165,000 for single filers in 2025). The Backdoor Roth circumvents this, allowing \$7,000 annually (\$14,000 if married filing jointly) to grow tax-free. Over decades, this compounds significantly.

Implementation Steps

- 1. **Week 3:** Open Traditional IRA (if you don't have one)
- 2. **Week 3:** Contribute \$7,000 as non-deductible contribution (file Form 8606)
- 3. **Week 3:** Immediately convert to Roth IRA (minimize tax on gains)
- 4. **Tax Filing:** Report non-deductible contribution and conversion on Form 8606
- 5. **Annual:** Repeat process each year

Pro-Rata Rule Consideration

If you have existing pre-tax IRA balances (Traditional IRA, SEP IRA, SIMPLE IRA), the pro-rata rule requires you to calculate the taxable portion of your conversion based on all IRA balances. To avoid this, consider rolling pre-tax IRAs into your Solo 401(k) before executing the Backdoor Roth.

Estimated Annual Value

Year-One	\$7,000 contribution (\$14,000 if married)	Tax-free growth potential
20-Year Value	\$140,000 contributions	Growing tax-free at 8-10% annually
Retirement Benefit	All withdrawals tax-free	No RMDs, estate planning benefits

Compliance Notes

Execute conversion immediately after contribution to minimize taxable gains. File Form 8606 with your tax return to report non-deductible contributions. Do not claim a deduction for the Traditional IRA contribution. Roth IRA withdrawals are tax-free after age 59½ and five years from first contribution.

Risk Level

Low risk. Well-established strategy confirmed by IRS guidelines. Primary risk is pro-rata rule complications if you have existing pre-tax IRA balances.

Strategy #3: Home Office Deduction - \$1,190-\$1,490 Annual Value

What It Is

Business owners and self-employed individuals can deduct expenses related to the business use of their home. This includes a portion of mortgage interest, property taxes, utilities, insurance, repairs, and depreciation based on the percentage of home used exclusively for business.

Why It Works For You

As an S-Corp owner conducting business from home, you qualify for this deduction. At your 29.75% rate, a \$4,000-\$5,000 deduction saves \$1,190-\$1,490 annually. The regular method typically yields higher deductions than the simplified method for homeowners.

Implementation Steps

1. **Week 2:** Identify dedicated workspace used exclusively for business
2. **Week 2:** Measure square footage of office space and total home
3. **Week 2:** Photograph setup and document exclusive use
4. **Week 2:** Calculate business percentage (office sq ft ÷ total home sq ft)
5. **Ongoing:** Track all home expenses (mortgage interest, property taxes, utilities, insurance, repairs, HOA fees)
6. **Year-End:** Calculate deduction using Form 8829

Regular Method vs Simplified Method

Method	Calculation	Typical Value
Simplified	\$5 per sq ft (max 300 sq ft)	\$1,500 maximum
Regular	Actual expenses × business %	\$4,000-\$5,000+ for homeowners

Eligible Expenses (Regular Method)

- Mortgage interest (business portion)
- Property taxes (business portion)
- Utilities (electric, gas, water, sewer, trash)
- Homeowners insurance
- Repairs and maintenance

- HOA fees
- Depreciation on home (business portion)

Estimated Annual Value

Conservative	\$1,190	\$4,000 deduction × 29.75% rate
Aggressive	\$1,490	\$5,000 deduction × 29.75% rate

Compliance Notes

The space must be used exclusively and regularly for business. "Exclusive use" means no personal activities in the space. The office must be your principal place of business OR used for meeting clients/customers in the normal course of business OR a separate structure. Maintain photographs, measurements, and expense records. File Form 8829 with your tax return.

Risk Level

Low-to-moderate risk when properly documented. IRS scrutinizes exclusive use requirement. Maintain contemporaneous records and photos. Audit risk increases if claiming large percentage of home or lacking documentation.

Strategy #4: Accountable Plan - \$1,780-\$2,380 Annual Value

What It Is

An accountable plan allows your business to reimburse employees (including yourself and your spouse) for business-related expenses tax-free. These reimbursements are deductible by the business and not taxable income to the employee, creating double tax benefit.

Why It Works For You

As an S-Corp owner who can employ your spouse or other family members, you can reimburse legitimate business expenses that would otherwise be paid with after-tax dollars. At your 29.75% rate, \$6,000-\$8,000 in reimbursements saves \$1,780-\$2,380 in taxes.

Implementation Steps

1. **Week 2:** Create written accountable plan policy document
2. **Week 2:** Design expense report template requiring receipts and business purpose
3. **Week 3:** Set up reimbursement payment process (within 60 days of expense)
4. **Ongoing:** Track reimbursable expenses:

- Mileage at 70¢/mile (2025 rate) for business travel
- Business meals (50% deductible; 100% if with employees)
- Cell phone and internet (business portion)
- Professional development and training
- Business equipment and supplies
- Travel expenses (hotels, airfare, car rentals)

Three IRS Requirements

1. **Business Connection:** Expenses must be business-related and deductible business expenses
2. **Adequate Accounting:** Substantiate expenses within 60 days with receipts and documentation
3. **Return Excess:** Return any reimbursements exceeding actual expenses within 120 days

Eligible Reimbursements

Expense Category	Annual Estimate	Notes
Business Mileage	\$2,000-\$3,000	70¢/mile for 2025
Business Meals	\$1,500-\$2,500	50% deductible; 100% with employees
Cell Phone/Internet	\$1,200-\$1,800	Business portion only
Professional Development	\$800-\$1,200	Courses, books, conferences
Other Supplies	\$500-\$1,000	Office supplies, software, etc.

Estimated Annual Value

Conservative	\$1,780	\$6,000 reimbursements × 29.75% rate
Aggressive	\$2,380	\$8,000 reimbursements × 29.75% rate

Compliance Notes

Accountable plans must meet three IRS requirements: business connection, adequate accounting, and return of excess. Cannot be used to disguise wages or provide additional

compensation. Maintain written policy, expense reports with receipts, and documentation of business purpose. Process reimbursements within 60 days. Failing to meet requirements converts reimbursements to taxable wages.

Risk Level

Low risk when properly documented. IRS scrutinizes plans that reimburse excessive amounts or lack proper substantiation. Maintain contemporaneous records and ensure all reimbursements have legitimate business purpose.

Strategy #5: Augusta Rule (Section 280A) - \$1,660-\$2,080 Annual Value

What It Is

The Augusta Rule allows you to rent your personal residence to your business for meetings and events for up to 14 days per year. The rental income is tax-free to you personally, while your business deducts the rental expense. This creates a powerful arbitrage opportunity.

Why It Works For You

As a business owner with adequate home space, you can hold legitimate business meetings, board meetings, and strategy sessions at your residence. Your business pays market-rate rent (which you receive tax-free), and the business deducts the expense. At your 29.75% rate, \$5,600-\$7,000 in rental payments saves \$1,660-\$2,080.

Implementation Steps

1. **Week 4:** Research comparable rental rates for similar homes in your area (VRBO, Airbnb, hotel conference rooms)
2. **Week 4:** Create formal rental agreement between you (personally) and your business
3. **Week 4:** Schedule 14 business meetings/events throughout the year
4. **Ongoing:** Document each meeting (agenda, attendees, business purpose, photos)
5. **Ongoing:** Business pays rental fee via check or ACH (maintain payment records)
6. **Year-End:** Do NOT report rental income on Schedule E (exempt up to 14 days)

Legitimate Business Uses

- Board of directors meetings
- Strategic planning sessions
- Client meetings and presentations
- Company training events

- Team meetings and retreats
- Annual planning sessions

Establishing Fair Market Value

Research comparable rates in your area. Options include: daily rates for similar homes on VRBO/Airbnb, hotel conference room rates for similar capacity, executive retreat center rates. Document your research. Typical rates: \$400-\$700 per day depending on home size and market.

Estimated Annual Value

Conservative	\$1,660	14 days × \$400/day = \$5,600 × 29.75% rate
Aggressive	\$2,080	14 days × \$500/day = \$7,000 × 29.75% rate

Compliance Notes

Maximum 14 days per year. Must establish fair market value through comparable research. Document business purpose for each rental day. Business deducts expense; you report NO rental income. Maintain rental agreements, payment records, meeting documentation (agendas, attendee lists, photos). Excessive rates or lack of business substance invite scrutiny.

Risk Level

Moderate risk. IRS scrutinizes this strategy for lack of business purpose or inflated rates. Critical to document fair market value, maintain evidence of actual meetings, and demonstrate legitimate business purpose. Higher audit risk than foundational strategies.

Strategy #6: Vehicle Section 179 - \$4,760-\$7,140 Annual Value

What It Is

Section 179 allows immediate expensing of vehicles used for business. For heavy vehicles (>6,000 lbs GVWR), you can deduct the full purchase price in year one. For lighter vehicles, deductions are capped at \$13,000-\$20,000 depending on vehicle type. Combined with 100% bonus depreciation, this creates massive first-year deductions.

Why It Works For You

If you need a business vehicle for your operations or self-storage management, purchasing before year-end allows you to accelerate depreciation. A \$24,000-\$40,000 vehicle purchase at your 29.75% rate saves \$7,140-\$11,900 in taxes immediately, rather than over 5-7 years.

Implementation Steps

- 1. **Q4:** Identify business vehicle needs (self-storage management, business operations)
- 2. **Q4:** Research vehicles >6,000 lbs GVWR for maximum deduction (SUVs, trucks)
- 3. **By 12/31/25:** Purchase and place in service before year-end
- 4. **Ongoing:** Track business use percentage (must exceed 50%)
- 5. **Ongoing:** Maintain mileage log (date, miles, business purpose)
- 6. **Tax Filing:** File Form 4562 to claim Section 179 and bonus depreciation

Vehicle Categories & Limits (2025)

Vehicle Type	GVWR	First-Year Deduction	Examples
Passenger Cars	<6,000 lbs	\$13,000 cap	Most sedans, coupes
Light Trucks/Vans	<6,000 lbs	\$13,000 cap	Small SUVs, crossovers
Heavy Vehicles	>6,000 lbs	\$30,500 cap (Section 179)	Large SUVs, pickups
Commercial Trucks	>6,000 lbs	Full deduction	Vans, box trucks

Heavy Vehicle Examples (>6,000 lbs GVWR)

- Chevrolet Suburban, Tahoe
- Ford Expedition, F-150
- GMC Yukon XL
- Ram 1500
- Toyota Tundra
- Nissan Armada

Estimated Annual Value

Conservative	\$4,760	\$16,000 vehicle × 29.75% rate
Aggressive	\$7,140	\$24,000 vehicle × 29.75% rate

Compliance Notes

Vehicle must be used >50% for business to qualify for Section 179. If business use drops below 50% in future years, recapture rules apply. Maintain contemporaneous mileage log documenting business vs personal use. Vehicle must be purchased and placed in service by December 31, 2025 to claim 2025 deduction. Lease payments do not qualify for Section 179; only purchases.

Risk Level

Low-to-moderate risk with proper documentation. IRS scrutinizes business use percentage. Maintain detailed mileage logs from day one. Luxury vehicle purchases with minimal business use invite audit attention. Stick to vehicles with clear business purpose for your operations.

Strategy #7: W-4 Optimization - \$6,500 Cash Flow Improvement

What It Is

W-4 optimization adjusts your withholding to match your actual tax liability, reclaiming over-withheld funds throughout the year rather than waiting for a refund. This improves cash flow without changing your total tax owed. The money is yours either way—this just gets it to you sooner.

Why It Works For You

Most W-2 employees over-withhold, essentially giving the IRS an interest-free loan. With your business deductions (home office, accountable plan, 401(k), etc.), your actual tax liability is significantly lower than standard withholding assumes. Optimizing your W-4 reclaims \$6,500+ annually in immediate cash flow.

Implementation Steps

1. **Week 1:** Use IRS Tax Withholding Estimator (irs.gov/W4App)
2. **Week 1:** Input all expected deductions (401(k), home office, business expenses, etc.)
3. **Week 1:** Calculate adjusted withholding to target \$0 refund/\$0 owed
4. **Week 1:** Submit updated W-4 to employer/payroll
5. **Quarterly:** Review and adjust if income or deductions change significantly

Typical Over-Withholding Sources

- Standard withholding doesn't account for business deductions
- 401(k) contributions reduce taxable income
- Home office, vehicle, accountable plan deductions
- Multiple jobs or income sources causing bracket confusion

- Conservative withholding to avoid penalties

Estimated Cash Flow Improvement

Annual Benefit	\$6,500	Immediate cash available for investing
Monthly Benefit	\$540	Per paycheck increase in take-home
5-Year Value	\$32,500+	If invested vs sitting with IRS

Safe Harbor Rules

To avoid underpayment penalties, ensure you either: (1) Pay 90% of current year tax liability through withholding and estimated payments, OR (2) Pay 100% of prior year tax liability (110% if AGI >\$150K). The W-4 optimization keeps you within safe harbor while maximizing cash flow.

Compliance Notes

Use the IRS Tax Withholding Estimator to calculate appropriate withholding. Adjust W-4 annually or when significant income/deduction changes occur. If you have significant non-W-2 income, make quarterly estimated payments. Avoid underpayment penalties by meeting safe harbor thresholds. This is cash flow optimization, not tax reduction—total tax owed remains the same.

Risk Level

Very low risk when using IRS calculator and meeting safe harbor rules. Primary risk is under-withholding causing penalties, which is avoided by following safe harbor guidelines and adjusting quarterly as needed.

Strategy #8: QBI Deduction Optimization - \$3,570-\$5,950 Annual Value

What It Is

The Qualified Business Income (QBI) deduction under Section 199A allows pass-through business owners (S-Corps, partnerships, sole proprietors) to deduct up to 20% of qualified business income. This reduces your effective tax rate on business income and became PERMANENT under the One Big Beautiful Bill Act in 2025.

Why It Works For You

As an S-Corp owner, you can optimize the split between W-2 salary and distributions to maximize QBI deduction while maintaining reasonable compensation. The QBI deduction

applies to distributions (not W-2 wages), creating strategic planning opportunities. At your 29.75% rate, a \$12,000-\$20,000 deduction saves \$3,570-\$5,950 annually.

How QBI Works

The deduction is generally 20% of your qualified business income from pass-through entities. For S-Corps, QBI is your taxable income minus your W-2 wages from the S-Corp. Higher W-2 wages reduce QBI (and thus the deduction), while higher distributions increase it. The strategy is finding the optimal balance.

S-Corp Optimization Strategy

1. Set "reasonable compensation" (W-2 salary) at appropriate level for your role
2. Remaining profits taken as distributions
3. Distributions qualify for 20% QBI deduction
4. W-2 wages do NOT qualify but are needed for "reasonable compensation"
5. Balance the two to maximize total tax benefit

Example Calculation

Assume \$200K total business income:

Scenario	W-2 Salary	Distribution	QBI (20%)	Tax Savings
Conservative Split	\$100K	\$100K	\$20K	\$5,950
Aggressive Split	\$80K	\$120K	\$24K	\$7,140

Implementation Steps

1. **Now:** Work with CPA to determine reasonable compensation for your role
2. **Now:** Calculate optimal W-2 vs distribution split
3. **Ongoing:** Pay yourself via payroll (W-2 wages)
4. **Quarterly:** Take distributions based on profit
5. **Year-End:** Adjust final distribution to optimize QBI
6. **Tax Filing:** Calculate QBI deduction on Form 8995

Estimated Annual Value

Conservative	\$3,570	\$12,000 QBI deduction × 29.75% rate
Aggressive	\$5,950	\$20,000 QBI deduction × 29.75% rate

Income Phase-Out Thresholds (2025)

If your taxable income exceeds certain thresholds, the QBI deduction begins to phase out and may be limited by W-2 wages and qualified property. Thresholds: \$197,300 (single), \$394,600 (married filing jointly). Below these thresholds, you get the full 20% deduction without limitations. Above these thresholds, wage and property limitations apply.

Compliance Notes

Must maintain "reasonable compensation" via W-2 wages—IRS scrutinizes S-Corps paying minimal salaries to maximize distributions. Balance FICA tax savings (from distributions) with QBI optimization. If above phase-out thresholds, coordinate with CPA to maximize deduction within wage/property limitations. File Form 8995 with tax return to claim deduction.

Risk Level

Low-to-moderate risk. Primary risk is setting W-2 salary too low to maximize QBI, which triggers "reasonable compensation" audits. Work with experienced CPA to determine appropriate compensation for your industry and role. The strategy itself is IRS-approved; the risk is in execution.

Real Estate Strategy: Self-Storage Investment

Your active pursuit of self-storage acquisition unlocks the most powerful real estate tax strategies. Self-storage facilities offer unique advantages: lower management intensity than residential rentals, strong cash flow, and significant depreciation benefits. These strategies become available upon purchase closing.

Strategy #9: Cost Segregation Study - \$29,750-\$59,500 First-Year Value

What It Is

Cost segregation accelerates depreciation by identifying property components that qualify for shorter depreciation schedules (5, 7, 15 years) rather than the standard 39 years for commercial property. Combined with 100% bonus depreciation (now PERMANENT), you can deduct 40-60% of the property purchase price in year one.

Why It Works For You

Self-storage facilities have significant components that qualify for accelerated depreciation: lighting systems, security systems, paving, landscaping, site improvements, and interior finishes. A cost segregation study on a \$2M purchase typically identifies \$800K-\$1.2M in accelerated components, creating massive first-year deductions.

Typical Self-Storage Cost Segregation Results

Property Value	Accelerated Components	First-Year Deduction	Tax Savings (29.75%)
\$1M	\$400K-\$600K	\$400K-\$600K	\$119,000-\$178,500
\$2M	\$800K-\$1.2M	\$800K-\$1.2M	\$238,000-\$357,000
\$3M	\$1.2M-\$1.8M	\$1.2M-\$1.8M	\$357,000-\$535,500

Self-Storage Components Commonly Accelerated

- Electrical systems and lighting (5-7 year)
- Security systems, cameras, access control (5 year)
- Site improvements: paving, curbs, drainage (15 year)
- Landscaping and fencing (15 year)
- Interior finishes in office/retail space (5-7 year)
- Signage and parking lot lighting (5-7 year)

Implementation Timeline

1. **During Due Diligence:** Engage cost segregation firm for preliminary assessment
2. **After Closing:** Provide purchase agreement, property details to cost seg firm
3. **30-60 Days:** Firm completes study and provides detailed report
4. **Tax Filing:** Use study results to claim accelerated depreciation
5. **Ongoing:** Maintain study documentation for audit defense

100% Bonus Depreciation (PERMANENT as of 2025)

The One Big Beautiful Bill Act made 100% bonus depreciation PERMANENT for property placed in service after January 19, 2025. This means you can deduct 100% of qualifying components in

year one (not phased down as previously scheduled). This is a game-changer for real estate investors and makes cost segregation more valuable than ever.

Estimated Annual Value (Conservative Example: \$1M Purchase)

Without Cost Seg	\$25,641	$\$1\text{M} \div 39 \text{ years} = \text{standard depreciation}$
With Cost Seg	\$400,000	$\$400\text{K accelerated components} \times 100\% \text{ bonus}$
Tax Savings	\$119,000	$\$400\text{K} \times 29.75\% \text{ rate}$

Compliance Notes

Must use qualified cost segregation professional or engineering firm. Study must be based on property-specific information, not generic percentages. Can be performed on newly purchased properties or retroactively on previously purchased properties (catch-up depreciation). Maintain detailed study report for audit defense. Report changes using Form 3115 for retroactive studies.

Risk Level

Low risk when using qualified professionals. IRS accepts cost segregation studies from reputable firms. Risk increases if using inflated percentages or aggressive classifications. Stick with established firms that provide audit support.

Strategy #10: Bonus Depreciation (Section 179D) - \$14,875-\$29,750 Additional Value

What It Is

Section 179D provides a deduction for energy-efficient commercial building improvements. Self-storage facilities that meet energy efficiency requirements can claim additional deductions for qualifying systems: lighting, HVAC, and building envelope. This stacks with cost segregation for compounding benefits.

Why It Works For You

Modern self-storage facilities often include LED lighting, efficient HVAC in office/retail space, and insulated building envelopes. If your facility meets efficiency thresholds, you can claim \$1.00-\$5.00 per square foot in additional deductions. For a 50,000 sq ft facility, that's \$50,000-\$250,000 in extra deductions.

Qualifying Improvements

- LED lighting systems (most common in self-storage)
- HVAC upgrades (if climate-controlled units)
- Building envelope improvements (insulation, roofing, windows)
- Must meet specified energy efficiency targets

Estimated Value (50,000 sq ft facility)

Conservative	\$14,875	\$1.00/sq ft × 50K sq ft × 29.75% rate
Aggressive	\$29,750	\$2.00/sq ft × 50K sq ft × 29.75% rate

Implementation Steps

1. Engage qualified energy consultant during due diligence
2. Verify facility meets energy efficiency requirements
3. Obtain certification and documentation
4. Claim deduction in year property placed in service
5. Can be combined with cost segregation for maximum benefit

Compliance Notes

Requires certification from qualified professional. Building must meet energy efficiency standards (typically 25-50% below ASHRAE baseline). Documentation must support efficiency claims. Can be claimed retroactively on existing buildings with qualifying improvements.

Risk Level

Low risk with proper certification. Ensure your consultant provides audit-ready documentation and certification of energy efficiency requirements.

Strategy #11: 1031 Exchange Planning - Defer Future Gains

What It Is

A 1031 exchange allows you to defer capital gains taxes when selling investment property by reinvesting proceeds into like-kind property. This is not relevant for your initial purchase, but becomes critical for future portfolio growth and exit strategy.

Why Plan Now

Understanding 1031 mechanics before you ever sell helps you avoid costly mistakes and preserves maximum flexibility. Self-storage facilities are ideal 1031 exchange properties because they're purely investment properties (not subject to primary residence complications).

Key Rules

- Must identify replacement property within 45 days of sale
- Must close on replacement property within 180 days
- Must use qualified intermediary (cannot touch proceeds)
- Replacement property must be equal or greater value
- Must reinvest all equity to defer 100% of gain

Future Value

Example: You purchase self-storage for \$1M, sell in 10 years for \$2M. Without 1031, you owe capital gains tax on \$1M gain (\$150K-\$238K depending on rates). With 1031, you defer 100% by reinvesting into larger property, preserving capital for continued growth.

Implementation Considerations

Establish relationship with qualified intermediary now. Understand state-specific requirements (some states don't recognize 1031 deferral). Plan for upward portfolio growth using 1031 as tool to continuously upgrade properties tax-free.

Investment Strategy & Portfolio Allocation

Your investment allocation balances retirement security, Bitcoin accumulation, income generation, and real estate opportunity. The allocation prioritizes tax-advantaged retirement accounts first (filling your critical gap), then Bitcoin for long-term wealth preservation, with STRC providing current income.

Recommended Allocation

Category	Allocation %	Dollar Amount	Purpose
Retirement Accounts	Priority Max	\$61,500-\$69,000	Solo 401(k) + Backdoor Roth; tax-advantaged growth
Bitcoin (Core)	70-75%	\$21K-\$30K year one	Long-term wealth preservation; \$1K/mo DCA + lump sums
STRC (Income)	10-15%	\$15K-\$20K	Bitcoin-correlated income; 10-12% yield
Self-Storage	Variable	Per deal terms	Active wealth building; tax-advantaged cash flow
Emergency Reserve	Fixed	\$40K-\$60K	2-3 months expenses; maintain liquidity

Retirement Account Strategy (Priority #1)

Solo 401(k) Implementation

Establish immediately with provider offering Bitcoin exposure options (Fidelity, Schwab, E*Trade). Target maximum employee contribution (\$23,500) by December 31, 2025. Calculate employer profit-sharing contribution (up to 25% compensation, total limit \$70,000) to be made by tax filing deadline plus extensions.

Backdoor Roth IRA (\$7,000-\$14,000 annually)

Execute immediately for 2025. If married, both spouses contribute. This provides tax-free growth and withdrawals in retirement, complementing the tax-deferred 401(k). Priority asset for this account: Bitcoin or Bitcoin-correlated investments for maximum long-term tax-free appreciation.

Bitcoin Accumulation Strategy (70-75%)

Dollar-Cost Averaging (DCA)

Allocate \$1,000/month via automated purchase through River Financial. This smooths volatility and removes emotion from timing decisions. Annual commitment: \$12,000.

Lump Sum Deployment

Deploy available liquid capital (\$30K-\$60K) strategically. Recommended approach: 50% immediately, 25% at 15% pullback, 25% at 25% pullback. This balances immediate exposure with

opportunistic buying.

Custody Progression

Phase	Balance	Custody Solution	Timeline
Phase 1	\$0-\$25K	River Financial (exchange custody)	Months 1-6
Phase 2	\$25K-\$100K	Unchained multisig (2-of-3)	Months 6-18
Phase 3	\$100K+	Unchained or self-custody	18+ months

Why Bitcoin?

Bitcoin represents the hardest money ever created with a fixed supply of 21 million coins. It serves as a hedge against monetary inflation and currency debasement. With institutional adoption accelerating (ETFs, corporate treasuries, sovereign wealth funds), Bitcoin is transitioning from speculative asset to strategic reserve. Long-term holders (5+ years) have never lost money historically.

STRC Strategy (10-15% for Income)

What Is STRC?

Strategy's STRC product provides Bitcoin-correlated exposure with yield generation (10-12% annually). It invests in MSTR-related preferred equity structures, offering regular income while maintaining Bitcoin correlation. This fills the gap between pure Bitcoin volatility and income needs.

Recommended Allocation

\$15,000-\$20,000 provides meaningful income (\$1,500-\$2,400 annually) without over-concentrating in a single income product. This complements Bitcoin's capital appreciation with current yield.

When to Use STRC

- You want Bitcoin exposure with regular income
- Diversification within Bitcoin-focused portfolio
- Monthly or quarterly cash flow needs
- Balancing growth (Bitcoin) with yield (STRC)

Cash Flow Banking Clarification Needed

You mentioned \$400K in "cash flow banking." Please clarify: Is this whole life insurance with cash value, a business line of credit, a HELOC, or another vehicle? Understanding this will allow proper integration into your allocation strategy. Each vehicle has different tax implications, access restrictions, and optimal uses.

Self-Storage Investment

Your active pursuit of self-storage acquisition represents your most significant wealth-building opportunity. Self-storage offers strong fundamentals: recession-resistant cash flow, lower management intensity than residential rentals, and massive depreciation benefits via cost segregation. Prioritize this opportunity when the right deal emerges.

Financing Strategy

Leverage commercial financing (70-80% LTV typical) to preserve liquid capital for Bitcoin accumulation. The tax benefits (cost segregation, bonus depreciation) often exceed the after-tax cost of debt. Your 720-759 credit score positions you well for favorable commercial terms.

Year-One Value Breakdown

Base Scenario (Pre-Real Estate Purchase)

Strategy	Annual Value	Notes
Solo 401(k) Max	\$18,300	$\$61,500 \times 29.75\%$
Backdoor Roth IRA	\$7,000	Tax-free growth (long-term value)
Home Office	\$1,190	$\$4,000 \times 29.75\%$
Accountable Plan	\$1,780	$\$6,000 \times 29.75\%$
Augusta Rule	\$1,660	$14 \text{ days} \times \$400/\text{day} \times 29.75\%$
Vehicle Section 179	\$4,760	$\$16,000 \times 29.75\%$
QBI Optimization	\$3,570	$\$12,000 \times 29.75\%$
W-4 Optimization	\$6,500	Cash flow improvement
Total Year-One	\$44,760	Tax savings + cash flow

Aggressive Scenario (With Self-Storage Purchase)

Strategy	Annual Value	Notes
Base Strategies (above)	\$44,760	From base scenario
Cost Segregation	\$59,500	$\$200\text{K} \text{ accelerated} \times 29.75\%$ (assumes \$1M purchase)
Section 179D	\$14,875	$\$1/\text{sq ft} \times 50\text{K sq ft} \times 29.75\%$
Enhanced Vehicle	\$2,380	$\text{Additional } \$8,000 \times 29.75\%$ (upgrade from base)
Total Aggressive	\$121,515	With real estate strategies

Key Insight: Real Estate Multiplier Effect

Notice the dramatic value increase when self-storage closes. The real estate strategies alone contribute \$76,755 in tax savings, more than doubling your total year-one benefit.

This demonstrates why your self-storage pursuit is so valuable—it unlocks the most powerful wealth-building strategies available.

Timeline & Milestones

Q4 2025 (Immediate - December 31)

- **Week 1:** W-4 optimization, Solo 401(k) research, Bitcoin account setup
- **Week 2-3:** Solo 401(k) establishment, home office documentation, Backdoor Roth execution
- **Week 4:** Augusta Rule setup, vehicle research, accountable plan implementation
- **By 12/31:** Employee 401(k) contribution (\$23,500), vehicle purchase if proceeding

Q1 2026 (January - March)

- Employer 401(k) profit-sharing contribution (by tax filing deadline + extensions)
- Review year-end tax strategies with CPA
- Quarterly estimated tax payment if required
- Bitcoin DCA monitoring and allocation review
- Self-storage due diligence continuation

Q2 2026 (April - June)

- Tax return filing (incorporating all 2025 strategies)
- 2026 Backdoor Roth IRA contribution
- 401(k) contribution adjustment for 2026
- Evaluate STRC allocation and rebalancing
- Self-storage acquisition progress review

Q3 2026 (July - September)

- Mid-year tax strategy review and adjustment
- Evaluate additional vehicle/equipment purchases for Section 179
- Bitcoin custody review (move to multisig if balance >\$25K)
- Self-storage closing and cost segregation study (if applicable)

Q4 2026 (October - December)

- Year-end tax optimization (maximize 2026 deductions)
- Solo 401(k) contribution planning for 2026
- Augusta Rule execution (14 meetings throughout year)
- Annual strategy review and 2027 planning

Action Plan

This Week (Days 1-7)

1. Update W-4 withholding to reclaim \$6,500 cash flow
2. Open River Financial account for Bitcoin DCA
3. Research Solo 401(k) providers and select one
4. Verify S-Corp payroll structure with current CPA or payroll service
5. Review this wealth plan and identify any questions or clarifications needed

This Month (Days 1-30)

1. Establish Solo 401(k) and make employee contribution (\$23,500 by 12/31/25)
2. Execute Backdoor Roth IRA (both spouses if applicable)
3. Document home office (measure, photograph, calculate percentage)
4. Create accountable plan documentation
5. Begin mileage tracking (install MileIQ or similar)
6. Set up Bitcoin DCA (\$1,000/month automated)
7. Research Augusta Rule comparable rental rates
8. Evaluate vehicle needs for Section 179

This Quarter (Days 1-90)

1. Complete all base tax strategies (home office, accountable plan, Augusta Rule setup)
2. Make vehicle purchase if proceeding with Section 179 strategy
3. Finalize employer 401(k) contribution calculation
4. Engage CPA for year-end tax planning session

5. Continue self-storage due diligence
6. Allocate lump sum Bitcoin purchase if market conditions favorable
7. Research STRC allocation timing
8. Review progress on all strategies and adjust as needed

Professional Team Coordination

CPA Selection & Requirements

Your strategies require a CPA with specific expertise. Look for professionals with experience in:

- S-Corporation optimization and reasonable compensation guidance
- Real estate taxation (cost segregation, depreciation strategies)
- QBI deduction optimization (Section 199A)
- Retirement plan administration
- Multi-state taxation (if applicable to your business)

Interview Questions for CPA Candidates

1. How many S-Corp clients do you serve? What's your approach to reasonable compensation?
2. Have you worked with cost segregation studies? Can you review results before filing?
3. What's your experience with Augusta Rule (Section 280A) implementation?
4. How do you approach QBI deduction optimization for S-Corp owners?
5. Do you provide proactive tax planning (not just compliance)?
6. What's your fee structure for ongoing advisory vs. annual filing?

Cost Segregation Engineer (For Self-Storage)

Engage qualified cost segregation firm during due diligence phase. Look for:

- Experience with self-storage facilities specifically
- Licensed engineers or architects on staff
- Audit defense support included
- Typical cost: \$5,000-\$12,000 depending on property size

Recommended Firms

- Madison SPECS (nationwide, self-storage expertise)
- Cost Segregation Services, Inc. (CSSI)
- Property Tax Advisors
- Your CPA may have referral relationships

Payroll Service (For S-Corp)

If not already using payroll service, establish one immediately. Options include:

- Gusto: User-friendly, good for small businesses (\$40-\$150/month)
- ADP: Enterprise solution, comprehensive features
- Paychex: Mid-market focus
- QuickBooks Payroll: Integrates with QuickBooks accounting

Financial Advisor Coordination

If working with financial advisor, ensure they understand:

- Bitcoin as strategic portfolio allocation (not speculation)
- Self-directed retirement accounts for alternative investments
- Tax-loss harvesting coordination with CPA
- Real estate cash flow projections

Key Milestones & Decision Gates

30-Day Review

Success Metrics: Solo 401(k) established, W-4 adjusted, Bitcoin DCA active, home office documented, accountable plan created.

Decision Gate: Proceed with vehicle purchase? Adjust strategy mix based on cash flow and self-storage timeline?

90-Day Review

Success Metrics: All base strategies implemented, employee 401(k) contribution made, Backdoor Roth executed, vehicle purchased (if applicable).

Decision Gate: Self-storage status? If closing imminent, engage cost segregation firm. If delayed, reallocate capital to Bitcoin/STRC.

Year-End Review (December 2025)

Success Metrics: All time-sensitive strategies completed (401(k) employee contribution, vehicle purchase, Augusta Rule meetings).

Decision Gate: Calculate employer 401(k) contribution. Plan 2026 strategy adjustments. Review Bitcoin allocation and custody progression.

Annual Review (Q1 2026)

Success Metrics: Tax return filed incorporating all strategies, actual tax savings calculated, year-one results vs. projections.

Decision Gate: Strategy refinement for year two. Self-storage impact evaluation. Bitcoin/STRC rebalancing if needed.

Appendices

Appendix A: 2025 Tax Year Limits (Quick Reference)

Item	2025 Limit	Notes
401(k) Employee Deferral	\$23,500	\$30,500 if age 50+; \$34,750 if age 60-63
401(k) Total Limit	\$70,000	\$77,500 if age 50+; \$80,750 if age 60-63
IRA Contribution	\$7,000	\$8,000 if age 50+
HSA (Individual)	\$4,300	\$5,300 if age 55+
HSA (Family)	\$8,550	\$9,550 if age 55+
Standard Mileage Rate	70¢/mile	Business use
Section 179 Limit	\$1,220,000	Phase-out at \$3,050,000
Bonus Depreciation	100%	PERMANENT (OBBBA)
Augusta Rule	14 days	Maximum rental days

Appendix B: Marginal Tax Rate Calculation

Your Estimated Rate:

- Federal: 24% (income \$200K-\$300K bracket)
- Virginia State: 5.75%
- Combined: 29.75%

This is the rate used throughout this plan for tax savings calculations. Your actual marginal rate may vary based on final income, deductions, and filing status. Verify with CPA during tax planning.

Appendix C: Monthly Cash Flow Projection

Item	Monthly Amount	Annual Total
Current Fixed Expenses	\$20,000	\$240,000
W-4 Optimization Benefit	+\$540	+\$6,500
Bitcoin DCA	-\$1,000	-\$12,000
401(k) Employee Contribution	-\$1,960	-\$23,500
Net Cash Flow Impact	-\$2,420	-\$29,000

Note: The employee 401(k) contribution reduces take-home pay but provides massive tax savings. The W-4 optimization partially offsets this. Employer 401(k) contribution does not affect cash flow (paid from business profits at year-end).

Appendix D: Self-Storage Due Diligence Checklist

When evaluating self-storage acquisitions, review:

Financial Analysis

- Trailing 12-month income statement
- Occupancy rates (current and 3-year average)
- Rent roll and rate structure
- Operating expense ratio

- Debt service coverage ratio (if financing)
- Comparable sales and cap rates in market

Physical Inspection

- Unit condition and mix (climate-controlled vs. non-climate)
- Security systems and access control
- Lighting and electrical systems
- Paving, drainage, and site conditions
- Deferred maintenance assessment
- Environmental assessment (Phase I)

Market Analysis

- Supply analysis (competitive facilities within 3-mile radius)
- Demand drivers (population growth, housing trends)
- Rent comparables
- Market occupancy trends
- Barrier to entry (zoning, land availability)

Tax Strategy Planning

- Cost segregation preliminary assessment
- Bonus depreciation eligibility (placed in service after 1/19/25)
- Section 179D potential (energy efficiency)
- Entity structure review (hold in S-Corp or separate LLC?)

Disclaimers

Professional Guidance Recommendation: This wealth plan provides general strategies and estimates based on your intake information. Implementation requires coordination with qualified professionals including CPA, attorney, and financial advisor. Tax laws are complex and subject to change; your actual results may vary based on specific circumstances.

Tax Strategy Compliance: All strategies discussed require proper documentation, adherence to IRS guidelines, and legitimate business purpose. Aggressive or abusive tax shelters are not recommended and are not included in this plan. When in doubt, err on the side of conservative implementation.

Investment Disclosure: Bitcoin and other investments carry risk of loss. Past performance does not guarantee future results. Allocations suggested are general guidance and should be reviewed with financial advisor considering your complete financial situation, risk tolerance, and investment timeline.

Real Estate Considerations: Self-storage investment involves market risk, operational demands, and capital requirements. Conduct thorough due diligence before any acquisition. Cost segregation and depreciation strategies require qualified professionals and proper documentation.

S-Corporation Requirements: Reasonable compensation standards apply. Your CPA should determine appropriate W-2 salary based on your role, industry standards, and company profitability. Underpaying salary to maximize distributions invites IRS scrutiny.

Updates and Revisions: Tax laws change regularly. The One Big Beautiful Bill Act (OBBBA) signed July 2025 made several provisions permanent, but future legislation could modify these rules. Annual review with your professional team is essential.

State-Specific Considerations: Virginia-specific tax rules and benefits may exist beyond the scope of this plan. Consult with Virginia-licensed CPA for state-specific optimization.

No Attorney-Client or CPA Relationship: This document does not create any professional relationship. It is educational information based on general tax principles and your stated goals. All strategies require implementation through qualified licensed professionals.

Plan Version: November 2025 | Based on 2025 tax law and client intake data provided November 2025